

HR Policy

Effective Date: 1 April 2026 | Version 3.2 | Owner: Human Resources Department

1. Purpose and Scope

This Human Resources Policy document establishes the principles, standards, and procedures that govern the employment relationship between NovaTech Enterprises Pvt Ltd ("the Company") and its employees. It applies to all full-time, part-time, and contractual employees across all Company offices in India, unless a specific employment contract states otherwise. The purpose of this policy is to ensure consistency, fairness, and legal compliance in all people-related decisions, from recruitment through separation.

This document should be read alongside the Employee Handbook, Leave Policy, and Code of Conduct, which together form the Company's core HR policy framework. In the event of any conflict between this policy and applicable law, the provisions of law shall prevail.

2. Recruitment and Selection

NovaTech Enterprises is committed to hiring the most qualified candidates through a fair, transparent, and merit-based selection process. All open positions are approved by the relevant department head and HR prior to being advertised internally or externally.

- All candidates are evaluated against a documented job description and defined competency framework.
- A minimum of two interview rounds is required for all full-time positions; senior and leadership roles require a minimum of three rounds including a panel interview.
- Reference checks and, where applicable, background verification must be completed before a final offer is issued.
- Internal employees are given priority consideration for open positions through the Internal Job Posting (IJP) process, subject to eligibility criteria.
- The Company does not discriminate in hiring on the basis of gender, religion, caste, disability, marital status, or any other characteristic protected under applicable law.

3. Employment Classification

Employees are classified into the following categories for the purpose of benefits, leave entitlement, and applicable policies:

- Probationary Employee: All new hires serve a probation period of six (6) months from the date of joining, during which either party may terminate employment with two weeks' written notice.
- Permanent Employee: Employees who have successfully completed probation and received written confirmation of permanent status.
- Fixed-Term Contract Employee: Engaged for a specific project or duration not exceeding 24 months, renewable subject to business need.
- Intern: Engaged for a training period of 2 to 6 months under the Company's internship program, governed by a separate internship agreement.

4. Working Hours and Attendance

Standard working hours are 9:30 AM to 6:30 PM, Monday through Friday, with a one-hour lunch break, totaling 40 hours per week. Employees are expected to record attendance through the Company's biometric or HRMS-based attendance system at the start and end of each working day.

Flexible working arrangements, including hybrid and remote work, may be approved by the reporting manager in consultation with HR, subject to role suitability and business requirements. Repeated unexplained absence or falsification of attendance records is treated as a serious disciplinary matter under the Code of Conduct.

5. Compensation and Benefits

Compensation is determined based on role, experience, market benchmarks, and individual performance. Salary revisions are conducted annually, typically in April, and are linked to the outcomes of the Performance Review Process described in the associated policy document.

- Provident Fund (PF) contribution as per the Employees' Provident Fund and Miscellaneous Provisions Act, 1952.
- Group Medical Insurance covering the employee, spouse, and up to two dependent children.
- Gratuity payable in accordance with the Payment of Gratuity Act, 1972, for employees completing five or more years of continuous service.
- Performance-linked variable pay for eligible roles, disbursed annually based on individual and company performance.
- Reimbursement of approved business expenses in accordance with the Travel and Expense Policy.

6. Performance Management

All employees participate in the Company's annual performance review cycle, which includes goal-setting at the start of the fiscal year, a mid-year check-in, and a year-end formal review. Performance ratings directly inform compensation revisions, promotion eligibility, and individual development planning. Full details are provided in the Performance Review Process document.

7. Grievance Redressal

Employees who have a concern regarding their employment, working conditions, or interpersonal issues at work are encouraged to first raise the matter with their reporting manager. If the matter remains unresolved, employees may escalate it in writing to their HR Business Partner, who is required to acknowledge the grievance within three working days and provide a resolution or status update within fifteen working days.

Grievances relating to sexual harassment must be reported through the process defined under the Company's Prevention of Sexual Harassment (POSH) Policy and will be handled by the Internal Committee (IC) constituted under the POSH Act, 2013.

8. Separation and Exit

Employees wishing to resign must submit written notice as per their employment contract, typically 30 to 90 days depending on role seniority. The Company will conduct a formal exit interview and ensure

completion of the knowledge-transfer and clearance process prior to relieving the employee. Full and final settlement, including any pending dues, will be processed within 45 days of the last working day, subject to completion of all exit formalities.

9. Policy Review

This HR Policy is reviewed annually by the Human Resources department and is subject to amendment to reflect changes in law, business needs, or organizational structure. Employees will be notified of material changes through official Company communication channels.